



Our ref: IM-72998

3 September 2025

Dear Interested Party

Re: Request for submissions: Cuscal Limited's proposed acquisition of Indue Limited

The Australian Competition and Consumer Commission (**ACCC**) is seeking your views on Cuscal Limited's (**Cuscal**) proposed acquisition of 100% of the issued share capital in Indue Limited (**Indue**) (the **proposed acquisition**).

Cuscal and Indue both supply payment facilitation services, which encapsulate all of the functions that facilitate the passing of messages between payers, financial institutions and payees in the payment flow. More specifically, Cuscal and Indue overlap in the provision of account-to-account payment facilitation services (including switching and messaging through NPP, BECS and BPay and ESA settlement) and card issuing payment facilitation services (including credit, debit and prepaid card processing, BIN sponsorship, card switching, card management services and digital card provisioning). Cuscal and Indue also offer non-payment specific services such as fraud mitigation services. Further details are provided at **Attachment A**.

The ACCC's investigation is focused on the impact of the proposed acquisition on competition. In particular, we are seeking your views on:

- how closely Cuscal and Indue compete in the supply of payment facilitation services;
- the extent to which alternative suppliers of payment facilitation services would competitively constrain the merged entity; and
- the likely impact of the proposed acquisition on the pricing and service quality of payment facilitation services.

Further issues you may wish to address are set out in **Attachment B**.

This matter is public and you can forward this letter to anybody who may be interested.

The legal test which the ACCC applies in considering the proposed acquisition is in section 50 of the *Competition and Consumer Act 2010*. Section 50 prohibits acquisitions that are likely to have the effect of substantially lessening competition in a market.

Please provide your response by **2pm on 17 September 2025** via email to mergers@accc.gov.au with the title: *Submission re: Cuscal's proposed acquisition of Indue*. If you require more time to respond, please let us know.

If you would like to arrange a time to discuss the matter with ACCC officers, or have any questions about this letter, please contact mergers@accc.gov.au.

Updates regarding the ACCC's investigation will be available on the ACCC's Public Mergers Register at ([ACCC mergers register](#)).

Confidentiality of submissions

The ACCC treats sensitive information it receives during a merger review as confidential, and will not publish your submission. We will not disclose submissions to third parties (except our advisors/consultants) unless compelled by law (for example, under freedom of information legislation or during court proceedings) or in accordance with s155AAA of the Competition and Consumer Act 2010. Where the ACCC is required to disclose confidential information, we will notify you in advance where possible so that you have an opportunity to be heard. Therefore please clearly indicate if any information you provide is confidential. Our [Informal Merger Review Process Guidelines](#) contain more information on confidentiality.

Yours sincerely

A handwritten signature in dark ink, appearing to read 'DMcCracken-Hewson', with a long horizontal flourish extending to the right.

Daniel McCracken-Hewson
General Manager
Merger Assessments

Attachment A

The acquirer – Cuscal

Cuscal is an ASX-listed (ASX: CCL) payment facilitation company operating in Australia. Cuscal is also an authorised deposit-taking institution (**ADI**).

Cuscal offers clients the ability to obtain end-to-end payment facilitation across merchant acquiring, switching and messaging through the BECS, NPP and BPAY payment rails, card and ATM switching, ESA settling, credit, debit and pre-paid card processing, digital card provisioning, BIN sponsorship, Consumer Data Right solutions and fraud mitigation.

The target – Indue

Indue is a payment facilitation company operating in Australia, and is also an ADI.

Indue offers payment facilitation services for its clients to switch and message through the NPP, BECS and BPAY payment rails, ESA settlement, and supplies credit and debit card processing for issuers, pre-paid card management, fraud mitigation and digital card provisioning. Indue is also an aggregator of certain third-party payment facilitation services, such as card switching, which it on-supplies to clients.

Industry background

Payment facilitation services encapsulate the functions that facilitate the passing of messages between payers, financial institutions and payees in the payment flow. This may include switching or messaging through one or more of the payment schemes, (Visa, Mastercard, eftpos, BPAY, New Payments Platform (**NPP**) and the Bulk Electronic Clearing System (**BECS**)), BIN sponsorship, card and ATM switching, credit, debit and prepaid card processing, data and fraud mitigation services and back-office support.

Cuscal and Indue both provide payment facilitation services to businesses in Australia including mutual banks, fintech companies and corporate clients. Indue also provides services to some government clients in Australia.

Payment facilitation services can be supplied as individual components or as an end-to-end service covering all aspects of the payment flow, from providers such as Cuscal or Indue. Alternatively, customers may choose to build their own end-to-end solution by obtaining different components of payment processing services from different suppliers. Customers may also choose to self-supply some components of the payment flow.

Attachment B

1. Provide a brief description of your business or organisation.
2. Outline the reasons for your interest in the proposed acquisition, including any commercial relationship(s) with Cuscal and/or Indue.

The questions below are divided into questions for customers and competitors, but you are welcome to comment on any question/s in any category.

Questions for customers

3. Please identify and explain the types of payment facilitation services you procure in Australia and identify the current suppliers of each of these services.
 - a. Please explain whether you procure these services as an end-to-end solution, or procure different components from different suppliers, and reasons for this.
4. For each payment facilitation service you procure in Australia, please identify and describe the alternative suppliers capable of servicing your needs. In your response, please identify any suppliers you consider particularly effective competitors (for example, through their prices, innovation or service offering).
5. Please explain whether you consider Cuscal and Indue are close competitors in the supply of payment facilitation services. In your response, please consider factors such as the types of services the parties supply, the quality of these services, levels of innovation and the reputation of both parties.
6. Please describe how you procure different types of payment facilitation services, for example, through formal tender or other methods, including typical contract duration.
7. Please discuss whether you would have the ability to bypass supply of any of the payment facilitation services from the combined Cuscal-Indue by either self-supplying or supporting a new provider to commence supplying these services. Please provide examples where possible.
8. Please describe how you expect your procurement of payment facilitation services to be affected by the proposed acquisition.

Questions for competitors

9. Please identify and explain the payment facilitation services you supply in Australia.
10. Please identify your competitors for the supply of each service you supply. Please estimate market shares where possible.
11. Discuss the likelihood of, and timeframe for, new entry or expansion in the supply of payment facilitation services, including any barriers to entry. Please provide examples of recent entry where possible.

Other

12. Please provide any additional information that you consider relevant to the ACCC's consideration of the proposed acquisition.
13. Please discuss the importance of innovation, research and development in the supply of payment facilitation services in Australia.